



VALUE-ADDED AND PROCESSED FOODS HAVE MUCH MORE VALUE AND A LONGER SHELF LIFE. THAT IS WHERE WE HAVE BEEN WORKING ON NOW.

SUNIL DESHPANDE, Business Unit Chief, Foods, Jain Irrigation

pany which has been in the business for close to two decades, farmers can make Rs 30,000 per acre per year from wheat and paddy cultivation, and potato cultivation can fetch between Rs 5,000 and Rs 15,000 per acre. In Mahindra's case, grape-exporting farmers who realised Rs 2.45 lakh per acre, now make Rs 4 lakh. This has instigated a jump in farm productivity. For instance, potato yields in Punjab have tripled in the last eight years from 16 tonnes per hectare to 54 tonnes. Says Gokul Patnaik, chairman of Global AgriSystem, an agribusiness company, "Whether it is cotton, sugar or tobacco, it is the demand for industrial raw materials that helped discipline agriculture."

Many companies have, however, burnt their fingers as well. Vineet Chhabra, CEO of the Global Green Company, makers of the Tify brand of products, faces renegeing in tomatoes, even though volumes are not high. They have now started classifying farmers as 'red', those who were given inputs by the company (seeds, fertilisers, etc), but yielded no output due to negligence. Luckily, their core product, gherkins, has no domestic market, and that keeps them insulated.

"There is a clear gap between industry potential and what is happening," says Patnaik. Adds Ramesh Vangal, chairman Kutra Group, one of the architects of PepsiCo's contract farming strategy, "The fundamental problem is that farmers don't understand industry and industry doesn't understand farming. Agriculture requires an integrated supply chain kind of mindset." Adds Puri, "At the same time, the

Government needs to rethink as its agricultural policies have so far failed to lead to real and sustainable gains."

Did companies have that mindset when they were looking at agribusiness? Puri thinks not. Many were lured by the CII-McKinsey Food and Agriculture Integrated Development Action (FAIDA) report of 2004, which highlighted food processing, based on the deregulation of the agri sector and emerging modern retail formats. However, the industry was focused on creating infrastructure, addressing so-called wastages along the supply chain and the disintermediation of a large number of intermediaries in the supply chain, little realising that they were up against those providing value at each point and with one of the most cost-efficient networks. So modern retail didn't quite grow the way it was supposed to, and thanks to an underdeveloped supply chain, the market for higher quality vegetables remained small.

Then, there are hurdles. Take for instance the Agricultural Produce Marketing Commission (APMC) Act, which regulates the mandis. Even though it was amended in many states last year, Punjab and West Bengal are yet to amend it. West Bengal has said clearly that MNCs will not be allowed to undertake contract farming. Under the APMC, farmers still need to sell their produce through the mandis. Since they are more price-competitive, retailers end up buying a bulk of their products from there or directly if they pay the mandi tax.

Another issue are the gaps in the supply chain. Ask Bharti. In 2004, it founded FieldFresh

Company
JAIN IRRIGATION

Cultivating
MANGOES, GHERKINS,
BANANAS AND
ONIONS

Land aggregated
3,000 acres

Investment
Rs 11 CRORE